Janus's assets were cut in half due to the fallout from the Internet crash in 2001; clearly the sun was setting on the Janus empire. Bailey sold his remaining Janus shares back to Stilwell. Stilwell paid $1.56 billion to acquire shares in Janus, of which approximately $1.2 billion was paid to Bailey.[70] Thus, a large portion of the fees paid by investors in Janus funds ended up in Bailey's pockets. Bailey sold out of Janus completely; he did not plough back his money into Janus funds or Stilwell stock. This is in keeping with Berk and Green's (2004) model, which says that mutual fund managers' talent, if any, accrues to the fund managers themselves and does not trickle down to the shareholders in the funds.

In 2002, Stilwell was swallowed by its more famous subsidiary and the Janus Capital Group was formed. Thanks to the stickiness of mutual fund cash flows, Janus survived the internet meltdown, market timing investigations by the SEC, and terrible performance—like all finance companies—during the 2008–2009 financial crisis.

And what of the stodgy railroad company KCSI, which previously owned Janus? At the end of 2011, it was one of the best performing stocks of the previous twenty years.[71] In the mid-1990s, Janus was earning more than KCSI's core railroad business, and KCSI's stock price rose with Janus's fortunes. In jettisoning Janus in 2000, right at the peak of the Internet bubble, KCSI's timing was perfect. KCSI got cash to pump back into its railroad operations and avoided the Internet crash that dragged down Janus's value. The proceeds reinvigorated KCSI in time for a resurgence of rail shipping in the 2000s. (The investing legend Warren Buffet bought a rail competitor of KCSI in the late 2000s.) And as an old-fashioned company, it also fared well in the financial crisis that brought down most financial firms in 2008–2009.

[70] Janus Capital Corp. 10-K 2002, p. 40.

[71] Sterman, D., "The Best Performing Stocks of the Last 20 Years," InvestingAnswers, May 27, 2011.